Suitability of Functional Organisation

Functional organisation can be suitable for all kinds of enterprises - big or small, machine-based or labour based. But to make a success of it, it should be practiced only at higher levels. If practiced at lower levels, it may create too many cross-relationships in which case it may become difficult to determine who has authority after whom, who is responsible to whom and what work each one is supposed to do.



Since army used to be organised in line organisation pattern, line organisation is also called as military organisation.

PepsiCo originally had a hierarchical organisational structure in its early years.

Apple a prominent hardware and software company, best known for its series of personal computers and the iPod has strong functional organisation that revolutionized the market by embracing new paradigms.

3.11 Organisational Chart

Organisation chart is the vital tool for providing information about organisational relationships. Such a chart is a diagrammatical form which shows the major functions and their respective relationships.

Organisation charts can be divided into:

1. Master Charts: The master chart shows the entire formal organisation structure.
2. Supplementary Charts: The supplementary chart shows details of relationships, authority and the duties within the prescribed area of a department or major component of the organisation.

Presentation of Organisation Chart:

There are three ways in which organisation chart can be prepared

1. Vertical or top - down chart
2. Horizontal or left to right chart
3. Circular Chart

Vertical or top-down chart:

In top down chart, highest position is shown at the top level followed by other positions in the hierarchy or management levels. Positions shown in the same horizontal level in the chart can usually be considered to have the same relative importance in the organisation.

Horizontal or left to right chart:

An organisation chart can be drawn to show the highest to the lowest level reading from left to right. In the left to right chart, organisational levels are represented by vertical columns, the flow of authority from higher to lower levels being represented by movement from left to right

Circular Chart:

The various positions or functions of an organisation can be shown in circular form. In this arrangement, centre of circle represents the position of supreme authority. Functions and positions making up the organisation structure are clustered around this centre in such a way that the closer the position of function to the centre, the more important is the function. Positions of relative equal importance are located at the same distance from the centre, that is, on the same concentric circle. Lines joining the different blocks of functions or positions indicate the channels of formal authority, the same as in other arrangements.

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